# How companies use debt

**When a company wants to expand, it has two main funding options—to borrow money or to issue shares to investors. Borrowing money at a fixed price enables it to budget for costs and calculate potential profits.**

## How it works

By taking on debt—in other words, borrowing money—a firm receives a lump sum of cash, paying back the full amount with interest in regular payments over a fixed term to its creditors. It also retains control over its business strategy, unlike when shares are sold.

By issuing shares, a company is selling ownership (equity) stakes in the business. A firm that raises money via issuing shares may have to allow larger shareholders a say in how the business is run. If the company then makes a profit, it may have to pay dividends to shareholders. Unlike loans, shares do not get "paid off"; dividends are paid as long as shares exist.

Firms may use both methods to fund investment, and each approach has different pros and cons, but without the facility to borrow, a company would be unable to take on large projects and make long-term commitments.

If a lender is concerned about how a company is being run, or its future ability to pay its debt, it may have the option to withdraw the loan or ask the company to reschedule its debt, thereby paying a higher rate of interest to compensate the lender for the increased potential risk.

## Business expansion

Some companies, for example those in air travel, car manufacturing, or house building, tend to have higher levels of debt because they have to purchase stock, raw materials, or land well before they sell their products or services.


**AIR Planes** wants to expand its operations because it foresees greater demand from customers in the future.


**It plans** to construct a new manufacturing plant and needs to raise money to buy the site and build the factory.